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1. PURPOSE

- 1.1** To familiarize employees with procurement processes that should be adhered to when performing responsibilities.
- 1.2** To ensure purchase of materials, goods and services are timeous and cost effective to the best advantage of Fossil Contracting Pvt Ltd.
- 1.3** To ensure all control measures are followed before purchases are made or service contracts are signed.
- 1.4** To ensure there is no downtime in operations due to wrong specifications or poor planning.
- 1.5** To ensure that purchase of products from external providers conform to specified requirements and suppliers are selected and evaluated based on their ability to meet product requirements.
- 1.6** To ensure procurement of products is done in compliance with SHEQ systems and procedures.

2. SCOPE

- 2.1** This procedure is applicable to:
 - 2.1.1** All purchasing activity for all Fossil Contracting's projects and purchasing activity done at the Head Quarters.
 - 2.1.2** All Fossil Contracting's departments and subsidiaries.
- 2.2** This procedure is inapplicable to all petty cash requirements (**Ref: Petty Cash Procedure FC-HQ-P-37**) and non-procurement related expenses including payroll and statutory regulations etc.

3. REFERENCE DOCUMENTS

- 3.1** Transfer payment procedure (FC-HQ-P-08)
- 3.2** Receiving procedure (FC-HQ-P-33)
- 3.3** Service level agreements

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- 3.4** ISO 9001:2015 clause 8.4 (Control of externally provided processes, products and services)
- 3.5** ISO 9001:2015 clause 5.1.1e (Leadership and commitment)
- 3.6** ISO 9001:2015 clause 7.1.1 (Resources)
- 3.7** ISO 14001:2015 clause 8 (Operations)
- 3.8** ISO 45001:2018 clause 8.1.4 (Procurement)

4. TERMS AND DEFINITIONS

- 4.1** Supplier evaluation – Process of accessing and approving potential or existing suppliers by quantitative and qualitative assessment.
- 4.2** Products – Any tangible or intangible goods or services.
- 4.3** COO – Chief Operations Officer
- 4.4** HOD – Head of Department
- 4.5** SHEQ – Safety, Health, Environment and Quality
- 4.6** GRV – Goods Received Voucher
- 4.7** SEC – Supplier Evaluation Committee
- 4.8** Maintenance Technician - The person who initiates the procurement process, by submitting a request for materials or services to support their work.
- 4.9** Dormant supplier – A supplier who is on the supplier list with no orders for the past year.
- 4.10** Once Off supplier – A supplier that has been engaged for non – routine transactions.
- 4.11** Blacklisted supplier – A supplier that has been suspended due to unethical conduct, has supplied sub-standard goods repeatedly, or any other reason provided by COO

5. RESPONSIBILITY AND AUTHORITY

- 5.1** The Procurement Manager shall:
 - 5.1.1** Be responsible for the implementation and maintenance of this procedure.
 - 5.1.2** Be responsible for authorizing the quotation.

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5.2 HOD's shall:

5.2.1 Be responsible for selecting and approving appropriate quotation.

5.2.2 Be responsible for approving the internal requisition and purchase requisition in the build smart.

5.3 Fossil Contracting employees shall be responsible for following the procurement procedure.

5.4 The Procurement department shall be responsible for acquiring quotations.

5.5 The department's representatives shall be responsible for vetting and evaluating suppliers through supplier visits.

5.6 The Procurement Manager in liaison with the relevant HOD shall be responsible for approval of the consolidated supplier evaluation form.

5.7 The Procurement Manager shall conduct supplier review meetings with HODs quarterly when necessary.

6. DETAILS OF PROCEDURE

6.1 Special Requirements

6.1.1 On an annual basis Fossil Contracting employees are to complete declaration of interest forms and these are to be filed with the Human Capital office.

6.1.2 The following are the proposed timelines that should be adhered to, to ensure that the procurement process is efficient, and any deviations shall be immediately communicated to the Procurement Manager.

Process	Responsible Person	Time to acquit
Creation of Internal Requests	Maintenance Technician	Mon – Thursday 8:00-10:00am

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Sourcing of quotations	Procurement Officer	2 Days
Creation of Purchase requests	Departments	1 Hour
Approval of the Purchase Requisition	Procurement Officer HODs Finance Manager COO	1 Hour 1 Hour 1 Hour 1 Hour
Payment of goods and services. Collection Of Materials. Delivery to sites.	Finance Manager Procurement Manager Stores/ HODs Plant	Every Tuesday & Thursday Daily Daily Daily
Goods Returns	Stores HODs	Within 12-24 Hours

NB: The process and lead time will depend on cashflow, availability of the goods, supplier lead time and whether the goods are locally available or imported.

6.2 Supplier selection and evaluation

6.2.1 The Procurement Manager shall flight an invite in the newspaper to all existing and potential suppliers who would want to register with Fossil Contracting when there is need, as determined by Fossil Contracting supplier onboarding framework.

6.2.2 Supplier selection and evaluation shall be done as per the supplier onboarding framework.

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6.2.3 The Procurement Coordinator shall obtain the latest copies of the following documents from the potential supplier using KYS (Know Your Supplier) form:

- a. Valid company registration (CR14 (List of Directors)/CR6 (Registered Address))
- b. Valid TAX clearance certificate
- c. NSSA compliance certificate
- d. NEC registration if applicable
- e. Other industry specific licences if applicable
- f. ISO certifications preferred but not mandatory
- g. Company profile including experience, past projects, equipment, workforce, etc.
- h. Referrals at least from 3 previous clients
- i. Audited financial statements for the past 3 years
- j. Bank references and creditworthiness
- k. Payment terms and credit facilities
- l. Liquidity ratios and financial stability
- m. Warranties and guarantees offered
- n. After sales support and training provisions
- o. Sample testing (for product suppliers)
- p. Safety records
- q. Environmental policies
- r. Insurance coverage
- s. Disaster preparedness plan

6.2.4 The Procurement Manager and respective HOD shall evaluate potential suppliers and re-evaluate existing suppliers based on the following:

- a) Whether the supplier provides products or services on credit
- b) Existing contractual agreements
- c) Market reputation
- d) Pricing

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- e) Efficiency in delivery
- f) Ease in dealings
- g) Consistent quality
- h) Any other criteria as deemed necessary by the Supplier Evaluation Committee.

6.2.5 Successful suppliers will be listed in the approved suppliers list.

6.2.6 Re-evaluation of the supplier shall be done, when necessary, as determined by the SEC.

6.2.7 A supplier may be blacklisted for the following:

- a. Supplier fails to supply materials or service after being pre-paid and then fails to refund back.
- b. A supplier performs unethical conduct like offering a bribe to secure business.
- c. A supplier who repeatedly supplies sub-standard products after being given the correct specification or performs sub-standard work e.g. poor workmanship on repairs.
- d. SHEQ violation depending on the nature.
- e. If the COO gives instructions.

6.3 Procurement

6.3.1 The department representative shall check with Stores first for availability of items required before filling in an Internal Requisition Form.

6.3.2 If required items are out of stock the department representative shall fill in an Internal Requisition Form with all required items and proper specifications; to be approved by the HOD or any other personnel appointed by the respective HOD, get it stamped by the stores department to confirm non-availability of items and forward it to the Procurement Officer.

6.3.3 Upon receipt of the Internal Requisition Form the Procurement Officer shall obtain three quotations from approved list of suppliers of products/services

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needed and forward to the HOD or any other personnel appointed by the HOD for selection and approval considering:

- a. Quality
- b. Pricing
- c. Reliability
- d. Availability
- e. Lead time

NB: In the event of cash flow challenges, consideration may be given to suppliers offering credit facilities.

6.3.4 On the selected quote the HOD or approved signatory shall:

- a. Justify selection of that quotation
- b. Sign as evidence of approval

6.3.5 Waiver permission shall be sought from the Procurement Manager or COO in unique cases where three quotations could not be acquired, accompanied by an adequate explanation where appropriate.

6.3.6 These unique cases shall include:

- a. Where a service level agreement is available.
- b. In instances of a single source or dealer, manufactures, equipment under warranty, repairable components.
- c. Where an approved contract is available.
- d. Other suppliers could not produce quotations for various reasons.
- e. The product is new or unique and we do not have any registered supplier for such products.
- f. A selected/preferred supplier was picked due to required products by the COO or the Client.
- g. The product needs to be customized or manufactured.
- h. A direct instruction is given by the COO.

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- 6.3.7** The department representative shall create an electronic purchase requisition in the build smart using the signed quotations by the HOD or approved signatory and forward it to the Procurement Officer.
- 6.3.8** The requisitioner should provide comments and indicate the priority level of each request.
- 6.3.9** Upon receipt of the Purchase Requisition Form in the build smart the Procurement Officer shall enter amounts and supplier and send the purchase requisition to the HOD for approval.
- 6.3.10** The HOD shall approve the purchase requisition form in the build smart within 24 hours.
- 6.3.11** The HOD shall be followed by the Finance Manager and in amounts above USD 5000 the COO will approve the purchase request.
- 6.3.12** The approval arrangement for the Purchase Requisition shall be:
- Approved by: Procurement Officer
 - Approved by: HOD.
 - Approved by: Finance Manager
 - Authorized by: COO.
- 6.3.13** The procurement officer approves the purchase requisition and converts it to a purchase order in the system.
- 6.3.14** The procurement officer sends the purchase order to the supplier via email.
- 6.3.15** The selected quotation and purchase order form shall be sent to the Accounts Clerk for processing. (Ref transfer payment procedure FC-HQ-P-08).

6.4 Cancellation of requisitions

Cancellation of unprocessed requisitions occurs because of the following:

- 6.4.1** If the user department or section decides to use an alternative product the raised requisition and/or order in Build smart becomes redundant, hence the

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need to have it cancelled. The user department needs to communicate or notify Procurement of the alternative plan to enable cancellation.

6.4.2 If a project has been completed all unprocessed requisitions will need to be cancelled as the services or goods will no longer be required. The Project Manager must communicate to Procurement within 30 days of completion of project otherwise an automatic cancellation will be done by Procurement.

6.4.3 If requisitions have remained unprocessed for a period of three months, it will be cancelled after confirmation with the user department.

6.4.4 If the COO and HODs have a reason.

6.5 Cancellation of purchase orders

Cancellation of purchase orders happens when the following situations occur:

6.5.1 If the supplier has notified that they are no longer able to supply. This is done through written notification (email).

6.5.2 If a supplier fails to meet agreed-upon lead times and requirements despite repeated follow-ups, the buyer reserves the right to send a formal cancellation notice (via email) to terminate the agreement.

6.5.3 Orders may be cancelled if supplied goods are substandard or out of specification and the supplier fails to rectify within the agreed timeframe.

6.5.4 If the supplier has increased the price.

6.5.5 If the organization fails to pay within a reasonable time, then the order may be cancelled after notification.

6.5.6 When the supplier fails to supply goods on credit and the organization is not able to make an advance payment due to financial challenges.

6.5.7 If the COO and HODs have a reason.

6.5.8 The organization no longer needs the items or services due to project changes.

6.6 Receiving goods/services

On receipt of goods or services the following must be adopted

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6.6.1 Upon receiving goods, the receiving clerk verifies that the purchase order matches the delivery note and the invoice.

6.6.2 Quality checks are done by department representatives to assess damage and conformance to specification.

6.6.3 Check for chemical materials data sheet for hazardous materials.

6.6.4 Follow the store's receiving procedure.

6.6.5 The receiving clerk sends notification to the user department or site about the goods received at stores.

6.6.6 For goods delivered directly to site, the end user to get authority from the store's supervisor.

6.6.7 If a supplier delivers wrong or non-conforming products he must return with the product immediately.

6.6.8 Nonconforming items collected by fossil employees are to be returned to the supplier within 5 business days.

6.6.9 End users are responsible for returning nonconforming products or services.

6.7 Follow-up on purchased goods

6.7.1 The Procurement Coordinator shall follow up on collection of

- a.** Goods ordered on credit
- b.** Goods paid for upfront

6.7.2 The procurement controller shall verify goods received at Central Stores and Site Stores.

6.8 Compliance requirements/prohibited practices

6.4.1 No quotation or invoice is to be paid by Finance without any purchase order.

6.4.2 Give first preference to VAT registered suppliers these suppliers must also have a Tax Clearance certificate to enable the company to claim VAT input.

6.4.3 Internal requests shall be approved or authorized by other signatories as per the signatory list provided by HODs on behalf of the responsible signatory if they are not available.

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- 6.4.4** Any collection of products done without procurement authorization or an order a disciplinary hearing will be conducted.
- 6.4.5** Department maintenance technician, security personnel and SHEQ representative must be available when goods are being received. They must receive and inspect goods or services, ensuring that they meet the required specifications and quality standards.
- 6.4.6** Departments to report any defects or non-conformities to procurement department. Defect products must never be kept in the stores.
- 6.4.7** Departments must not make duplicate purchases through petty cash procedures and central procurement procedures.
- 6.4.8** Poor procurement planning on the department side will not be considered as urgent requests.
- 6.4.9** No service must be provided without the approval of the Procurement Manager.
- 6.4.10** Maintenance technician to verify the quotation specifications before the HOD has signed.

7. KEY PERFORMANCE INDICATORS

- 7.1** All purchases shall be made from list of approved suppliers

NB:

- ❖ All repairs to Plant and Vehicles shall require guidance from the Workshop Manager or the Foreman for technical input and one quotation is used for strip and quote jobs.
- ❖ All internal requisitions must be properly authorized; all signatories must be available.
- ❖ A waiver will be made for once off suppliers and registration of new suppliers to be authorised by the COO through email i.e. after supplier registration period has been closed.
- ❖ Any violation of the Central Procurement Procedure will result in disciplinary action unless written permission to violate the procedure is given by the COO.

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8. RETAINED DOCUMENTED INFORMATION

Records	Responsibility	Where kept	Retention	Disposition
KYS Form and attachments	Procurement Coordinator	Procurement Office	3 years	Archive
Approved suppliers list	Procurement Coordinator	Procurement Office	As determined by SEC	Renew
Purchase requisition form	Procurement Officer/Assistant	Procurement Office	3 years	Archive
Quotation	Procurement Officer/Assistant	Procurement Office	3 years	Archive
Purchase order	Procurement Officer/Assistant	Procurement Office	3 years	Archive
Procurement Manual and code of conduct	Procurement Manager	Procurement Office	N/A	Revise
Approved signatories list	Procurement Coordinator	Procurement Office	3 years	Archive